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9.1 The Balance Sheet

LEARNING OBJECTIVE

1. What is a balance sheet and what are the major types of bank assets and liabilities?

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The equity, net worth, or capital variable is a residual that makes the two sides of the equation balance or equal each other. This is because a company’s owners (stockholders in the case of a joint stock corporation, depositors or policyholders in the case of a mutual) are “junior” to the company’s creditors. If the company shuts down, holders of the company’s liabilities (its creditors) get paid out of the proceeds of the assets first. Anything left after the sale of the assets is then divided among the owners.

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Figure 9.2 Assets and liabilities of U.S. commercial banks, March 7, 2007

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